

Haskayne Finance Club: Equity Research Presentation



TC Energy Corp.

(TSX: TRP)

Stock Rating: Underperform

Industry Rating: Outperform

October 14th, 2021

Research Comment

Calgary, Alberta

Director: Joel Homersham

Analyst(s): Lauren Dang, Aleisha Liesemer, Nolan Sangha, Scott Roberts

Recent Highlight/Key Point

Company Overview

TC Energy ("TRP") is a leading North American energy infrastructure and operates in Canada, the United States and Mexico. The company operates a 93,400 km network of natural gas pipelines which transport natural gas from strategic basins to downstream customers. In addition to its natural gas business, the company builds and operates 4,900 km of liquids pipelines that connects Alberta's production to refining markets in the United States. TC Energy also owns or has interests in seven power generation facilities with combined capacity of 4,200 megawatts across Canada. The company owns and operates approximately 118 bcf of natural gas storage capacity in Alberta, Canada.

Competitive Advantage & Growth Prospects

TRP is subject to immense political/regulatory risk when it comes to expansion and or greenfield projects in its oil and natural gas transmission business units. The company's existing asset base accounts for ~25% of WCSB exports and less is dependent on commodity prices due its minimum volume-based contracts. TRP offers shareholders modest growth and stable returns.

Valuation

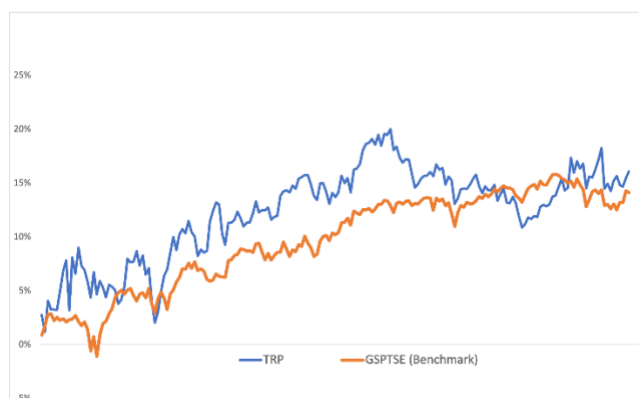
TC Energy has had negative FCF for the past 4 fiscal years due to high Capex making an intrinsic valuation unreflective of the company's true value. Comparable Company Analysis and EV/EBITDA valuation were used to reflect the company's value. TRP can produce FCF and has generated \$213mm in the TTM.

Recommendation

The HFC Energy Team recommends a HOLD due to weaker growth vs peers. TRP's current valuation is at fair value and the company will continue to deliver existing shareholders consistent returns.

Revenue & EBITDA Forecast

(in millions of dollars, \$mm)	2020	2021E	2022E	2023E
Total Revenue by Segment				
Canadian Natural Gas Pipelines	4,469.0	4,797.7	5,090.2	5,317.1
U.S Natural Gas Pipelines	5,031.0	5,401.0	5,730.4	5,985.8
Mexico Natural Gas Pipelines	716.0	768.7	815.5	851.9
Liquids Pipelines	2,371.0	2,545.4	2,700.6	2,821.0
Power and Storage**	412.0	442.3	469.3	490.2
Total Revenues	12,999.0	13,955.0	14,806.0	15,466.0
Total Revenue Growth, YOY%	-1.93%	7.35%	6.10%	4.46%
EBITDA Forecast	9,882.0	10,287.8	10,808.4	11,290.2



Investment Decision

Action	HOLD
Current Price	\$64.93
Target Price	\$65.28
Implied Return	0.005%



Haskayne Finance Club: Equity Research Report

Company Overview

Company Highlights

- **Operations Overview:** TC Energy (or “TRP”) is a leading North American energy infrastructure and operates in Canada, the United States and Mexico. The company operates a 93,400 km network of natural gas pipelines which transport natural gas from strategic basins to downstream customers. In addition to its natural gas business, the company builds and operates 4,900 km of liquids pipelines that connects Alberta’s production to refining markets in the United States. TC Energy also owns or has interests in seven power generation facilities with combined capacity of 4,200 megawatts across Canada. The company owns and operates approximately 118 bcf of natural gas storage capacity in Alberta, Canada.
- **Stock Performance:** With a YTD return of 24.02%, TC Energy has underperformed relative to its industry peers. Although TRP’s competitors have returned more to shareholders, the company has outperformed the TSX by approximately 6% over the same period.
- **Strategy:** TC Energy’s strategy is to maximize the full-life value of its existing assets and embrace energy transition opportunities while protecting the environment and supporting communities.
- **Recent Corporate Finance Transactions:** In September 2020, TC Energy sold its remaining stake in the Northern Courier Pipeline to Suncor Energy Inc. and its indigenous partners.
- **Ownership:** 76% of TC Energy shares are held by institutions and 0.1% of shares are held by insiders.
- **CEO Transition:** Long-time President & CEO Russ Girling was replaced in February 2021 by former COO Francois Poirier.

Valuation & Share Performance

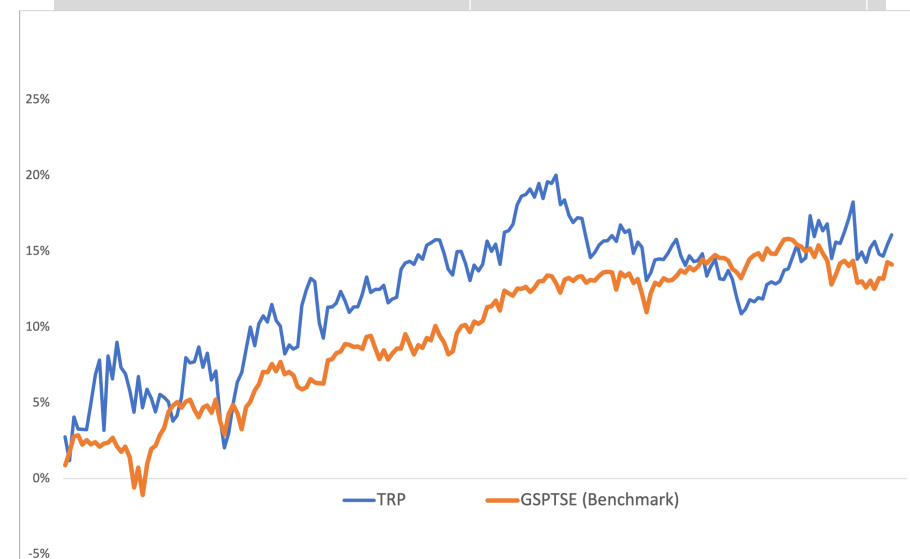
Key Valuation Statistics (\$mm)

Enterprise Value	\$113,710		
Market Cap	62,830	EBITDA (FY20)	\$9,882
P/E*	31.32	EBITDA Margin	76.02%
EV/EBITDA*	10.6	Debt / EV	46.03%
Cash	\$3,100	Total Debt	\$67,220

*P/E and EV/EBITDA are based on FY20 for comparison

Share Price

Current: **\$64.93**



1

Company Overview

2

ESG

3

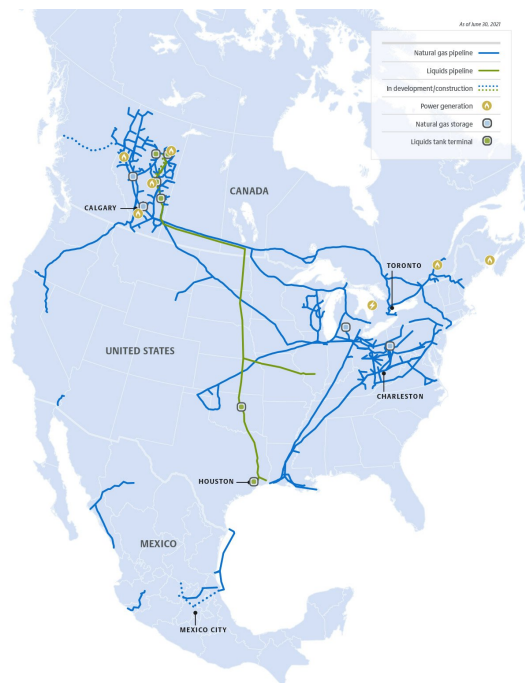
Valuation

4

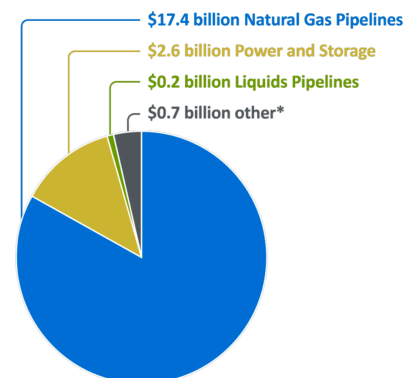
Thesis

Business Model

Asset Overview



Secured capital program by segment (\$billions)



Overarching Competitive Advantage:

- TC Energy's low risk business model is supported by long-term, take-or-pay commercial structures for liquid and natural gas pipelines.
- TC Energy has a diverse network provides ongoing investment opportunities. In 2020, achieved long-term settlements with customers on the NGTL System and the Canadian Mainline
- U.S. demand recovered from COVID-19 impacts with U.S. LNG exports reaching all-time high of ~10 Bcf/d

Liquids Pipelines:

TC Energy's oil & liquids pipeline infrastructure, approximately 4,900 km (3,000 miles), connects Alberta crude oil supplies to U.S. refining markets in Illinois, Oklahoma, Texas and the U.S. Gulf Coast. TC Energy still has extensive operations in Canada, including **the Keystone pipeline system**, which transports 20 percent of western Canadian crude exports to U.S. refineries, and natural gas pipelines, which are part of one of the largest gas transmission systems in North America. Other pipeline systems include the Grand Rapids pipeline.

Natural Gas Pipelines:

TC Energy's NGLT system gathers and transports natural gas in Western Canada to export to Canada and the United States with a \$9.9 billion program underway to export to global markets.

TC Energy's natural gas pipelines, supplies more than 25 per cent of the clean-burning natural gas consumed daily across North America

Power & Storage:

TC Energy has a 48.4 percent ownership stake in Bruce Power which operates safe nuclear power generation. They supply ~30% of Ontario's power in a stable, safe and carbon-free format.

TC Energy has signed joint development agreement with Nikola to accelerate the adoption of heavy-duty zero-emission fuel cell electric vehicles (FCEVs) and hydrogen across industrial sectors by establishing hubs in key geographic locations.

1

Company Overview

2

ESG

3

Valuation

4

Thesis

Operating Forecast

Revenue & EBITDA Forecast

(in millions of dollars, \$mm)	2017	2018	2019	2020	2021E	2022E	2023E	2024E	2025E	2026E	2027E	2028E
Total Revenue by Segment												
Canadian Natural Gas Pipelines	3,693.0	4,038.0	4,010.0	4,469.0	4,797.7	5,090.2	5,317.1	5,645.5	5,973.5	6,320.5	6,687.8	7,076.3
U.S Natural Gas Pipelines	3,584.0	4,314.0	4,978.0	5,031.0	5,401.0	5,730.4	5,985.8	6,355.4	6,724.7	7,115.4	7,528.8	7,966.2
Mexico Natural Gas Pipelines	570.0	619.0	603.0	716.0	768.7	815.5	851.9	904.5	957.0	1,012.6	1,071.5	1,133.7
Liquids Pipelines	2,009.0	2,584.0	2,879.0	2,371.0	2,545.4	2,700.6	2,821.0	2,995.2	3,169.2	3,353.3	3,548.1	3,754.3
Power and Storage**	3,593.0	2,124.0	785.0	412.0	442.3	469.3	490.2	520.5	550.7	582.7	616.5	652.4
Total Revenues	13,449.0	13,679.0	13,255.0	12,999.0	13,955.0	14,806.0	15,466.0	16,421.0	17,375.1	18,384.6	19,452.7	20,582.9
Total Revenue Growth, YOY%		1.71%	-3.10%	-1.93%	7.35%	6.10%	4.46%	6.17%	6.02%	6.02%	6.02%	6.02%
EBITDA Forecast	7,363.0	8,516.0	9,984.0	9,882.0	10,287.8	10,808.4	11,290.2	11,987.3	12,683.8	13,420.7	14,200.5	15,025.5

Revenue Drivers

Natural Gas Pipelines: TC Energy's existing infrastructure supplies over 25% of daily North American natural gas demand. With natural gas demand and prices at multi-year highs and regulatory risk of greenfield pipeline project approval, TRP is well positioned to sustain its market share and benefit from the increase in demand for natural gas.

Liquids Pipelines: Although the cancelation of the Keystone XL Pipeline shrinks growth prospects for TRP's Liquids Pipeline business unit, TC Energy still delivers approximately 20% of WCSB exports and is less exposed to commodity prices through volume-based contracts. These long-term volume-based contracts with financially stable producers and an attractive oil price environment will allow for modest revenue increases in this business unit.

Power and Storage: TRP's commitment to invest \$2.6B in its Power and Storage Business along with its current portfolio of power generation assets leaves the company better positioned for the energy transition relative to some of its industry peers. TC Energy is one of Canada's largest private sector power generators and will likely experience increased revenue growth in this business unit following the completion of the Bruce Power life extension project.

1

Company Overview

2

ESG

3

Valuation

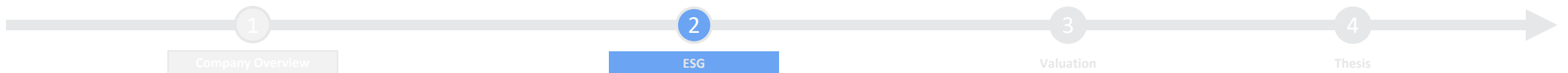
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Thesis

Environment

TC Energy has committed to:

- Partnering with 75 conservation organizations across North America
- Undertaking due diligence for GHG emissions targets by end of 2021
- Donating \$2.9+ million to 54 non-profit environmental organizations in 2019
- Develop, along with Pembina Pipeline Corporation (Pembina), a carbon transportation and sequestration system for Alberta-based industries to manage their emissions and contribute to a lower-carbon economy
- Signing a joint development agreement with Nikola for the co-development of large-scale clean hydrogen hubs
- Participated in the U.S. Environmental Protection Agency Natural Gas STAR program, which encourages the adoption of cost-effective technologies and practices to improve operational efficiency and reduce methane emissions.
- Almost 75% of TC Energy's power capacity is emission-less



Source(s): Bloomberg, Company Filings

Social

TC Energy has committed to:

- Over \$680 Million spent supporting First Nations Businesses
- Setting Indigenous contracting targets to enhance fit-for-purpose participation of Indigenous businesses in project execution and operational activities
- Launching corporate-wide mandatory Indigenous awareness training to provide cultural awareness to all employees and internal contractors
- Targeting 40% women and 17% visible minorities in leadership at corporate offices by 2025
- \$31 million+ donated to community organizations in North America in 2020
- Enabling transition from higher-emission fuels resulting in improved air quality and public health in the Mexico City area
- Partnering with Young Pipeliners Association of Canada supporting participants in designing innovative solutions for the future energy industry
- 9,000 people have greater access to drinking water through rainwater harvesting program in Mexico



Source(s): TC Energy Website

Governance

TC Energy Governance Overview:

- The company's Board of Directors (BOD) has publicly embraced an official set of Corporate Governance Guidelines.
- TC Energy's BOD has ensured that its guidelines adhere to the regulations of the Canadian Securities Administrators (CSA), Securities and Exchange Commission (SEC), New York Stock Exchange (NYSE), and the Sarbanes-Oxley Act of 2002.
- The firm is compliant with Canadian Audit Committee Rules, specifically National Policy 58-201, exhibiting advanced corporate governance.
- The company's BOD is headed by a non-executive chair and, moreover, 93% of board members are independent from the firm.
- TC Energy's BOD is subject to an annual review process, under which each director's specific performance is individually scrutinized.
- The company's top priority is the safety of its employees, the environment it operates in, and the public at large.
- With respect to ensuring safety standards are upheld, Leslie Kass, an Executive Vice-President of TC Energy's Technical Centre, assertedly claims "Each and every one of us takes our responsibility seriously" at the firm.
- The company won the 2019 'CGA Corporate Safety Award for Employee Safety', beating out every other operational firm in the Canadian Natural Gas sector, as well as the '2018 CEA President's Award for Safety Excellence in Generation'.

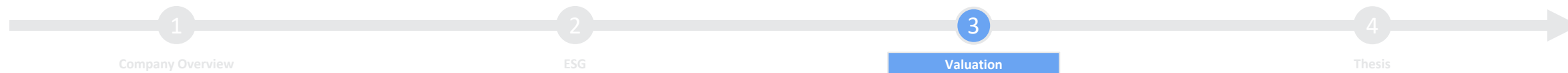


Comparable Company Analysis

2021-10-14		Market Data				Financial Data 2021E			Valuation 2021E		
Company Name	Price (\$/share)	Shares (M)	Market Cap (\$M)	Net Debt (\$M)	EV (\$M)	Revenue (\$M)	EBITDA (\$M)	Earnings (\$M)	EV/Revenue x	EV/EBITDA x	P/E x
Enbridge Inc. (TSX:ENB)	\$52.37	2,030	\$104,510	\$66,455	\$170,965	\$40,829	\$13,509	\$5,380	4.2x	12.7x	19.4x
Pembina Pipeline Corporation (TSX:PPL)	\$42.44	550	\$23,344	\$10,230	\$33,574	\$7,540	\$3,015	\$1,260	4.5x	11.1x	18.5x
AltaGas Ltd. (TSX:ALA)	\$26.01	280	\$7,001	\$7,254	\$14,255	\$6,112	\$1,269	\$400	2.3x	11.2x	17.5x
TC Energy Corporation (TSX:TRP)	\$64.93	979	\$60,820	\$48,556	\$109,376	\$13,955	\$10,288	\$4,647	7.8x	10.6x	13.1x
Mean									3.7x	11.7x	18.5x
Median									4.2x	11.2x	18.5x

Comparable Company Rationale

- The comparable table above shows a list of Energy Infrastructure/Pipelines. The peer companies were selected because of their relative size, business type, areas of operations, and regulatory/political risk.
- TC Energy has a significantly higher EV/Revenue multiple than its peers, which can be attributed to its large debt position. By this metric, TRP shares are overvalued relative its peers.
- ENB is most comparable with TRP due its type of business, overall strategy and market share of WCSB exports. When comparing the companies more closely TRP has a lower EV/EBITDA and P/E relative to ENB and its Canadian industry peers.



Valuation

Stock Price Performance

- YTD TRP has returned 24.02% and outperformed the TSX by ~6%
- TRP significantly underperformed relative to some of its industry peers. ENB and PPL have returned 28.64% and 39.24% respectively, over the same period.
- Through most broker estimates, there is a consensus that TRP is trading in the neighbourhood of its fair value.

Current: **\$64.93**

High Estimate: **\$76.23**

Low Estimate: **\$58.64**

EV/EBITDA - Trading Multiple

EV/EBITDA	(x)	10.63
EBITDA 21E	(C\$mm)	10,287.77

Implied EV	(C\$mm)	109,376.00
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Less: Net Debt	(C\$mm)	48,556.00
Less: Preferred Shares	(C\$mm)	0.00
Less: Minority Interest	(C\$mm)	0.00
Add: Cash	(C\$mm)	3,098.00

Implied Equity Value	(C\$mm)	63,918.00
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S/O	(mm)	979.20
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Implied Share Price	(C\$/Share)	65.28
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Valuation Summary & Rationale

- TRP has had negative FCF four the past four fiscal years due to high capital expenditures which makes intrinsic valuations less reflective of the company's true value.
- Although FCF to investors is negative, TRP is able to produce strong operating cash flows that cover most of capital expenditures
- 2021 EBITDA based off consensus estimates
- The EV/EBITDA multiple arrives at target price of \$65.28 which confirms TRP is trading at fair value

Broker Estimates

Target Prices (\$)

CIBC Capital Markets

\$74.00

National Bank Financial

\$66.00

Peters & Co. Limited

\$63.00

Wells Fargo Securities, LLC

\$68.00

Morningstar Inc.

\$68.00

1

Company Overview

2

ESG

3

Valuation

4

Thesis

Investment Thesis

Growth Prospects

- TC Energy provides investors with stable returns and an impressive dividend yield but has underperformed relative to industry peers. TRP growth is expected to be weaker vs peers.
- Revenue and EBITDA growth prospects for TRP are limited due to regulatory risk of pipelines expansion/project approval. Growth in the midstream sector is mostly through achieved acquisitions.
- TRP has seen limited revenue growth in its power and storage business.
- The Canadian midstream sector is expected to experience slow and consistent growth.

Dividend Yield & Stable Return

- TRP is viewed as a 'defensive investment' and has a history of returning an average annual return of 12%.
- TRP has increased its dividend every year since 2000 and expects future annual dividend growth of 5% to 7%

Corporate Strategy & Strategic Partnerships

- TRP balances maximizing the value of their existing assets while investing in energy transition opportunities through partnerships and risk sharing.
- Following the commodity price volatility experienced in 2020, the company has taken meaningful steps to enhance its liquidity and financial position.

Dividend Growth Outlook



1

Company Overview

2

ESG

3

Valuation

4

Thesis

Recommendation

Investment Decision

Action	HOLD
Current Price	\$64.93
Target Price	\$65.28
Implied Return	0.005%

Investment Decision Rationale

TC Energy is a well-managed company with a history of delivering shareholder returns yet, the company is trading at fair value with limited growth prospects relative to its industry peers.

TRP has best in class oil and natural gas transmission assets and deep network of investment opportunities that will continue to deliver existing shareholders consistent returns.

